

CREDIT APPRAISAL MEMO

Entity Name: Orion Fabricators Private Limited
Sector: Industrial Manufacturing
Date: 2/28/2026

FINAL DECISION: APPROVE

Suggested Limit: ₹160,000,000
Risk Premium: 10%

Decision Rationale:

The company has a strong track record of revenue growth, a good capital structure, and sufficient capacity to meet its financial obligations. However, there are concerns regarding client concentration risk, expansion plans, and regulatory scrutiny. Based on the composite risk score of 85 and the absence of severe integrity/legal flags, the decision is to APPROVE the loan with a recommended amount of ₹160,000,000 and an interest rate of 10%.

Analysis of the Five C's:

Character:

The company has a good track record of steady revenue growth over the past 3 years. However, there are concerns regarding client concentration risk and expansion plans. The management team has undergone changes, and the company is facing increased competition in the market. The regulatory scrutiny on industry practices may impact the company's operations.

Capacity:

The company's total revenue is ₹1480,000,000, and its total debt is ₹1100,000,000. Its equity is ₹90,000,000, and the current assets are ₹140,000,000. The company has sufficient capacity to meet its financial obligations of ₹160,000,000.

Capital:

The company has a strong capital structure with a shareholder equity of ₹90 crores. Its company's financial commitments include a term loan of ₹6 crores from SBI, a capital facility of ₹10 crores from SBI, and unsecured promoter loans of ₹4 crores.

Collateral:

The company has a mix of secured and unsecured loans. The term loan and working capital facility are secured, while the unsecured promoter loans are not. The company's current assets, including cash and accounts receivable, can be used as collateral.

Conditions:

The company operates in the industrial manufacturing sector, which is facing economic downturn, supply chain disruptions, and increasing regulatory requirements. The company is also facing competition from technological advancements disrupting business models.